

INTERNAL POLICY: Capital Adequacy & Risk-Weighted Assets

1. Purpose and Scope

1. This policy establishes the minimum capital requirements for the institution in accordance with applicable regulatory frameworks.
2. This policy applies to all business lines and subsidiaries that are subject to consolidated capital reporting obligations.

2. Minimum Capital Ratios

1. The institution shall maintain a Common Equity Tier 1 (CET1) capital ratio of no less than 3.5% of risk-weighted assets at all times. [NOTE: Internal target — subject to board approval.]
2. The Tier 1 capital ratio shall be maintained at a minimum of 5.0% of total risk-weighted assets, as calculated on a quarterly basis.
3. The Total Capital ratio (Tier 1 + Tier 2) shall be maintained at a minimum of 8.0% of risk-weighted assets, consistent with Basel III requirements.

3. Capital Conservation Buffer

1. The institution shall maintain a capital conservation buffer of 2.5% above the minimum CET1 ratio, as required under Basel III framework.
2. Breach of the conservation buffer triggers automatic restrictions on discretionary distributions including dividends and bonus payments.

4. Reporting and Monitoring

1. Capital adequacy ratios shall be calculated and reported to the Risk Committee on a monthly basis and to regulators on a quarterly basis.
2. Any projected breach of minimum ratios must be escalated to the Chief Risk Officer within 24 hours of identification.